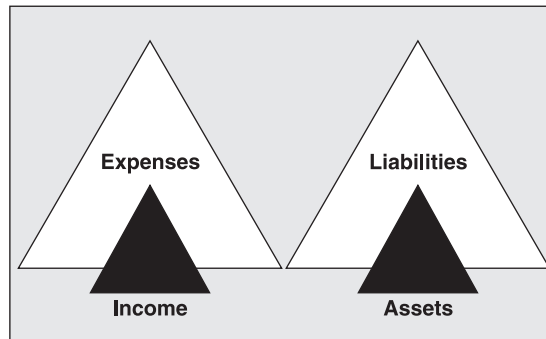




As the incomes of the middle-class increase so do their liabilities. They make little effort to create assets. Instant gratification and financial illiteracy dominates their decision-making. They believe they are creating assets in the form of house, car, etc., whereas they are only creating liabilities and increasing their expenses. See Figure 11.4.

FIGURE 11.4



➤ The Middle-Class Status Quo

What differentiates the middle class from the rich is their lack of financial literacy. It is the cash flow that makes all the difference. The rich understand the power of money and they make it work for them. They always have a positive cash flow.



Cash Flow of the Rich

The rich create assets. The assets create income. From the income they create more assets. Even if they buy a house on mortgage, they rent it and the rentals are higher than the mortgage and other charges they pay. So the house is an asset for them even if they take a bank loan to acquire it. See Figure 11.5.